

KEY TAKEAWAYS: BIG PURCHASES

- Do not buy a new car. Buy a used, reliable car, preferably with cash. For the most part, new cars just do not offer as much value as a car that is only a few years old.
- Do your research before you buy a car. If you go into a dealership without preparing, you will likely walk away with a disastrous deal.
- Don't fall for low monthly payments; this will only cost you more money in the long run. Don't try to justify buying an expensive car with low monthly payments. Those low monthly payments just mean higher interest rate and a longer time paying the car off.
- Do not buy a house before you are ready. Renting is not just throwing away your money. If you buy a house when you are not prepared, it can leave you house poor and wreck your budget for decades.
- You should have at least 10-20% saved for a down payment if you are going to buy a home.
- Your total housing costs should not be more than 30% of your household's take-home income.
- If you can, pay your house off in 15 years instead of 30. It will save you thousands, if not hundreds of thousands, of dollars in interest.